

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

**TOYOTA DE PUERTO RICO CORP.,**

*Complainant,*

**v.**

**PUERTO RICO PORTS AUTHORITY,  
CROWLEY PUERTO RICO SERVICES  
INC., and OCEANIC GENERAL AGENCY  
INC.,**

*Respondent.*

**Docket No. 19-02**

**SECTION 11 OF THE SHIPPING  
ACT OF 1984**

**MOTION REQUESTING AN ORDER TO STAY PROCEEDINGS**  
**(Re: To stay proceedings until the *Dantzler* case is decided by the First Circuit.)**

**TO MS. RACHEL E. DICKON  
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the “PRPA”), through its undersigned counsel, and respectfully states and requests as follows:

PRPA believes that the present case should be stayed, *at the very least*, until the *Dantzler, Inc., et. al., v. Puerto Rico Ports Authority* case, Appeal No. 18-2089, is decided. As the Honorable Commission knows and Hon. Erin M. Wirth mentioned in the Commission’s July 31<sup>st</sup> “Order Denying Puerto Rico Ports Authority’s Motion to Dismiss,” at pg. 9, that case is currently pending before the U.S. Court of Appeals for the First Circuit and may impact the Honorable Commission’s decision in this case. The most important issue in that appeal is that PRPA argues that it is clocked with sovereign immunity. The case has been *fully briefed* since September 6, 2019.

PRPA strongly believes that the sovereign immunity issue may ultimately render this case moot. However, the parties are currently litigating this case and incurring in significant expenses while the *Dantzler* case is pending.

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*Dantzler* is a potential class action civil suit filed by private shippers, like Toyota de Puerto Rico Corp. (“Toyota”), who import goods into Puerto Rico through Ocean Carriers and agents. Like Toyota, they are not directly charged the Enhanced Security Fee (“ESF”) by PRPA, but allege that they ultimately pay the fee when the Ocean Carriers and agents pass that cost on to them. That is the same exact fact pattern raised by Toyota in this case. (See, Verified Complaint.)

Thus, the *Dantzler* appeal addresses the same exact issues which PRPA has raised as defenses here.

That said, and as also mentioned in the Judge Wirth’s July 31<sup>st</sup> Order when citing the U.S. Supreme Court, “state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party’s complaint against a state-run port.” (*Id.*)(citing *Federal Maritime Commission v. South Carolina State Ports Authority, et. al.*, 535 U.S. 743, 747 (2002)). It is uncontested that PRPA state owned and is essentially run by the Commonwealth of Puerto Rico (“Commonwealth”). Further, the United States Court of Appeals for the District of Columbia Circuit already ruled in the year 2008 that PRPA was an arm of the Commonwealth, entitled to sovereign immunity, in a case filed by several commercial maritime terminal operators. See, *PRPA v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008). That D.C. Circuit president applies to this case.

Further, in the recent decision in *Thacker v. TVA*, 139 S. Ct. 1435 (2019), the U.S. Supreme Court unanimously ruled that that a hybrid government-owned federal corporation, which combined governmental functions with typically commercial ones, could be afforded sovereign immunity status. That case was remanded for consideration as to whether that limited immunity could apply. It is PRPA’s position in *Dantzler* that such hybrid status applies to it since it’s uncontested that the cargo scanning functions which it is performing at the San Juan Port are

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quintessential governmental security functions. PRPA's position should prevail.

In conclusion, PRPA very respectfully request that the Honorable Commission stay the proceedings and Toyota's December 12<sup>th</sup> deadline for filing its brief until the *Dantzler* case is decided. Note that Judge Wirth's July 31<sup>st</sup> Order states that the Honorable Commission was not dismissing this case on sovereign immunity grounds due to a circuit split. Thus, and considering that the same exact facts are posed before the Circuit Court which created the spit, this Honorable Commission should allow that Court to render a decision where it may ultimately be consistent with the D.C. Circuit's year 2008 decision.

We add that such request, if granted, will probably serve to save significant funds and resources, both of the parties and the Honorable Commission. That is particularly important where, as here, the Commonwealth and PRPA's financial situation is dire. Regarding the matter of transcript of Mr. Daniel O'Neill's November 5<sup>th</sup> deposition, it was provided to Toyota's counsel of record on Monday, December 2<sup>nd</sup>, just a few minutes after having been received by the undersigned. The transcript had been requested in an expedite manner, but was not received until Monday.

**WHEREFORE**, PRPA very respectfully requests that the Commission issue an Order staying the proceedings and deadlines until the *Dantzler* case is decided by the U.S. Court of Appeals for the First Circuit.

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**Certificate of Service:** I hereby certify that on this same date the foregoing notice was served upon the following attorneys of record, who are counsel for **Toyota de Puerto Rico Corp.:**

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**RESPECTFULLY SUBMITTED.**

In San Juan, Puerto Rico, this 4<sup>th</sup> day of December, 2019.

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